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Standard Chartered | Asia Pacific

Feedback from Asia Seminar

Standard Chartered's investor day highlighted the group's confidence on its network delivering growth from wealth flows and trade growth in its core markets. Investment flows around China will boost this growth. Valuation remains attractive, retain OW.

Key Takeaways

- New financial targets suggest strong revenue growth with operational and capital efficiency driving high-teens EPS.
- Wealth and trade flows will drive expansion, with RMB internationalisation, diversification and China corporates going global expected to boost these.
- Tech and operational transformation means the group is well positioned to support this while containing cost growth below revenue growth.
- Standard Chartered is also well positioned from a shift in use towards digital assets.
- Valuation undemanding; reiterate OW

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Standard Chartered (2888.HK, 2888 HK)

Hong Kong Financials | Hong Kong

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$221.00
Up/downside to price target (%)	10
Shr price, close (May 21, 2026)	HK\$200.60
52-Week Range	HK\$206.00-119.30
Sh out, dil, curr (mn)	2,247
Mkt cap, curr (mn)	US\$57,570
Avg daily trading value (mn)	HK\$184

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US\$)**	1.95	2.27	2.66	3.24
Prior EPS (US\$)**	-	-	-	-
EPS (US\$)§	2.22	2.30	2.72	3.13
ModelWare net inc (US \$ mn)	4,693	5,124	5,672	6,508
P/E	12.4	11.3	9.6	7.9
P/BV	1.2	1.2	1.1	1.0
ROE (%)	10.9	11.4	12.4	14.0
Div yld (%)	2.5	2.7	3.1	3.7
Core tier 1 capital ratio, Basel 3 (%)	14.1	13.5	13.4	13.4

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Investor Day Highlights

Positioning to drive growth - Standard Chartered highlighted the strength of its network anchored in high-growth corridors alongside the structural shifts in global finance. Management appeared confident that the bank is at an inflection point rather than mid-cycle. The core message from CEO Bill Winters was one of compounding growth: disciplined execution, improving productivity and a business mix increasingly tilted toward capital-light, non-interest income. New medium-term guidance was largely in-line with our expectations, although new points worth noting are focus on RWA growth below revenue growth, helped by non-NII growth and focus on higher RoTE client groups, such as affluent and Financial Institutions plus a reduction in treasury assets as the group benefits from an increased funding surplus from Wealth and Retail Banking (WRB); Capital allocation remains balanced, with growth investment, dividends and buybacks/other each broadly a third of capital use over time, while CET1 should be managed around the midpoint of the target range of 13-14%; costs expected to be controlled as the bank manages back office.

Network opportunity boosted by China flows - A central theme was monetising Standard Chartered's network advantage, as China capital, corporates and savings increasingly flow outward. In wealth, the bank believes under-financialised Chinese household balance sheets and an impending inter-generational wealth transfer create a long runway for offshore diversification, with Hong Kong and Singapore as key booking centres. Cross-referrals between CIB and Wealth are already translating into materially higher AUM growth and wallet share, with private bank referrals from CIB running several multiples of prior levels. In corporate and FI banking, China's "going global" drive is reshaping corridors toward ASEAN, the Middle East and Africa, areas where the group has local presence and RMB capability. Management was clear that RMB internationalisation was now a national priority, and that Standard Chartered's role as a neutral, trusted intermediary – spanning trade, hedging, custody, digital assets and payments – positions it to capture volume growth even as margins compress. The implication: a structurally larger, more capital-light network income pool tied to China-related flows.

Group also highlighted its transformation agenda - focused on structurally lowering the cost base while improving speed, resilience and scalability. The operating model has simplified, with 4-3% of staff now in Global Business Services and fewer management layers. New platforms include a shift to private cloud, a modern core banking platform (with 90% of markets now migrated) and a global payments platform. Management emphasised that AI is not an incremental overlay but the core enabler of productivity, from agent-assisted workflows to autonomous controls, aiming for marginal growth to require far less incremental cost. Importantly, the transformation is framed not as a one-off programme but as embedded continuous improvement, with measurable outcomes in throughput, uptime and decision speed. Finally, the group noted its early positioning in digital finance – still too early to say exactly how the model will roll out or be monetised, but with market shares likely to shift the bank believes it is important to be an early mover.

Valuation Methodology and Risks

Standard Chartered (2888.HK)

Gordon Growth model, probability-weighted 20% bull, 75% base, 5% bear (based on the likelihood of different macro outcomes, as well as return and franchise improvements).

Key assumptions:

- Cost of equity: 10% base, 9% bull, 15% bear.
- Return on allocated equity: 10% bull, 10% base, 9% bear
- Terminal growth: 2.5%

The result: target P/Bs 2.3x bull, 1.42x base, 0.51x bear.

Risks to Upside

- Faster-than-expected macroeconomic growth and resilience, causing better-than-expected asset quality
- Better-than-expected non-interest income growth
- Rates trough above 3%
- Bank able to return capital sooner than currently expected

Risks to Downside

- Incremental deterioration in asset quality
- Greater pressure on interest rates
- Asian macro climate deteriorates
- Failure to deliver cost targets

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(as of April 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Standard Chartered (2888.HK) - As of 05/22/26 GMT in HKD
Industry : Hong Kong Financials



Stock Rating History: 5/1/21 : E/C; 10/17/22 : O/I

Price Target History: 1/12/21 : 51; 8/11/21 : 52; 2/16/22 : 58.5; 6/8/22 : 61.8; 10/17/22 : 69.3; 2/17/23 : 79.7; 7/31/23 : 89.1; 10/27/23 : 83.5; 12/12/23 : 86.4; 1/11/24 : 89.4; 2/26/24 : 93.3; 5/3/24 : 99.9; 7/8/24 : 100.4; 8/1/24 : 100; 10/7/24 : 103.2; 10/30/24 : 100.4; 1/4/25 : 108.5; 2/27/25 : 128.3; 4/9/25 : 112; 5/5/25 : 113.1; 5/21/25 : 121.5; 8/1/25 : 158.6; 10/8/25 : 173; 10/31/25 : 176.7; 11/24/25 : 188; 1/13/26 : 222; 3/14/26 : 195; 5/13/26 : 221

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Hong Kong Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/21/2026)
Nick Lord		
BOC Hong Kong (2388.HK)	U (01/04/2025)	HK\$47.24
HSBC Holdings (0005.HK)	O (01/13/2026)	HK\$141.70
Standard Chartered (2888.HK)	O (10/17/2022)	HK\$200.60
Richard Xu, CFA		
HK Exchanges & Clearing (0388.HK)	O (02/24/2025)	HK\$407.40

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.